Tshwane University of Technology

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YEAR:	2026
SEMESTER TEST	1

SUBJECT NAME:	Business Cost Management A	
SUBJECT CODE:	BCM115D/BCMF15D	
QUALIFICATION(S):	DPIF20/ DPIFF0	
PAPER DESCRIPTION: Closed Book	**DURATION:** 2 HRS	**PAPER:** Only

SPECIAL REQUIREMENTS	
☒	NONE
☐	NON-PROGRAMMABLE POCKET CALCULATOR
☐	SCIENTIFIC CALCULATOR
☐	COMPUTER ANSWER SHEET
☐	GRAPH PAPER
☐	DRAWING INSTRUMENTS
OTHER:	

INSTRUCTIONS TO CANDIDATES:	Answer all questions
	Answer NEATLY and CLEARLY. Number your answer as indicated on each question.
TOTAL NUMBER OF PAGES INCLUDING COVER PAGE:	4
TOTAL NUMBER OF ANNEXURES:	0

EXAMINERS:	Ms. T. Magudulela, Ms. L. Ntsoane,Mrs I Abraham-Samgeorge, Mr. D. Malebana	**FULL MARKS:**	50
MODERATOR:	Dr. C. Kgoetiane	**TOTAL MARKS:**	50

[23]

Question: 1

1.1. Demonstrate your understanding by choosing the matching statement with the correct heading in column A. Write only the letter and the correct answer to each statement (10)

Statement	Column A
1. Refers to the systematic process of evaluating cost and cost calculation by considering all factors of both manufacturing and administration.	a)
2. Checks whether Total Debits = Total Credits.	b)
3. Is dependent on both cost and financial accounting for successful implementation.	c)
4. Keeping records of funds of NPOs, separate funds maintained for separate works, for assurance of usage.	d)
5. Concerned with the preparation and filing of tax returns, compliance with laws, tax reports preparation, reduction of taxes in a legal way, verification, and considering different aspects of taxes.	e)
6. Shows the cost applicable to units that have been started into production but are only partially completed.	f)
7. The materials that have directly contributed to a product and those easily identifiable in the finished product.	g)
8. Cost that is affected by the decision that the company or manager takes.	h)
9. Supports the recurring decisions regarding replacing equipment, managing cash flow, budgeting raw materials purchases, scheduling production, and pricing.	i)
10. Any wages paid to workers or a group of workers which may directly correlate to any specific activity of production, supervision, maintenance, transportation of material or product, and are directly associated with the conversion of raw material into finished goods.	j)

1.2. Cost management information is needed to assist the organisation in achieving four management functions: List and describe the four major management functions. (8)

1.3. Point out five categories of overheads. (5)

Question: 2 [16]

2.1. Complete the table below by filling in the empty space, Financial Vs Management Accounting, indicate only the letter in the block and the answer for each. (5)

Feature	Financial Accounting	Managerial Accounting
Primary Users of Reports	External users: stockholders, creditors, and regulators.	(a)
Types and Frequency of Reports	(b)	Internal reports. As frequently as needed.
Purpose of Reports	General-purpose.	(c)
Content of Reports	Pertains to business as a whole. Highly aggregated (condensed). Limited to double-entry accounting and cost data. Generally accepted accounting principles.	(d) Extends beyond double-entry accounting to any relevant data. Standard is relevance to decisions.
Verification Process	(e)	No independent audits.

2.2 List seven types of accounting. (7)

2.3 Differentiate between Relevant Cost vs. Irrelevant Cost, also include a practical example of each. (4)

QUESTION:3 **[11]**

3.1 Using the CVP formula **Sx = VCx + FC + P** prescribe what each variable in the CVP formula represents. (5)

3.2 Herbert Simon's Decision-Making Process is a model describing how decisions are made in organisations, recognising that decision-making is bound by limited information and rationality. List and explain the three main phases. (6)

END